to do things they can't do well."

What sorts of things? Among them is "to forecast short- or long-term changes in the economy, and in the price level of common stocks."

Many people spend a great deal of time trying to guess where the economy or the stock market is going. And yet, there are countless studies that show the folly of such forecasting.

James Montier of GMO, a global money management firm, highlighted how poor economists are at forecasting. He concludes,

> Attempting to invest on the back of economic forecasts is an exercise in extreme folly, even in normal times. Economists are probably the one group who make astrologers look like professionals when it comes to telling the future. … They have missed every recession in the last four decades! And it isn't just growth that economists can't forecast: it's also inflation, bond yields, and pretty much everything else.

He shares a chart that captures the consensus GDP forecast and how GDP really fared. It's interesting to see because one conclusion immediately jumps out at you. Take a look at the chart below and see whether you agree.